CARE MANAGEMENT SERVICES AGREEMENT

between Independent School District No. 2817 (Red Cedar Valley Schools), Minnesota, and Northcourt Care Partners, LLC

Agreement No. RCV-2027-014

Conformed copy for the District's benefits file: Recitals, signature page and Schedule C. The signed original, the body of the Agreement and Schedules A (Services), B (Administrative Fees), D (Data Exchange) and E (Business Associate Agreement) are held by the Business Office.

RECITALS

A. The District sponsors the Red Cedar Valley Schools Employee Health Plan (the "Plan"), a self-insured group health plan for eligible employees, early retirees under age 65 and their dependents. Ellery Benefit Administrators administers medical claims and utilization review under the Plan and Quarrystone Rx administers pharmacy claims.

B. On 13 January 2025 the District issued Request for Proposals 2025-07 for high-cost care management services for a programme year beginning 1 April 2025 and received three proposals, one of them from Northcourt. On 8 April 2025 the District cancelled RFP 2025-07 before making an award, when the School Board froze new non-instructional contracts for the 2025-26 fiscal year.

C. On 2 September 2026 the District issued Request for Proposals 2026-11 for the same services for a programme year beginning 1 April 2027. The evaluation committee ranked Northcourt's proposal of 9 October 2026 first, and this Agreement is made on the terms of that proposal as negotiated.

D. Northcourt will provide the Services as a business associate of the Plan and will receive eligibility and claims data for that purpose under Schedules D and E.

E. On 9 February 2027 the School Board approved this Agreement and authorised its Chair and the Superintendent to execute it on behalf of the District.

NOW, THEREFORE, in consideration of the mutual promises in this Agreement, the District and Northcourt agree as follows.

[Sections 1 to 14 of the Agreement not reproduced.]

IN WITNESS WHEREOF, the parties have executed this Agreement as of the dates below.

INDEPENDENT SCHOOL DISTRICT NO. 2817

By: /s/ Deborah Johnson
Deborah Johnson
Chair, School Board
Date: 16 February 2027

By: /s/ Sandra Lopez
Sandra Lopez
Superintendent
Date: 16 February 2027

NORTHCOURT CARE PARTNERS, LLC

By: /s/ Phillip Alvarado
Phillip Alvarado
Chief Operating Officer
Date: 16 February 2027

SCHEDULE C
BASELINE AND SAVINGS

C.1 **Definitions.** In this Schedule:

(a) "Allowed Claims" means the allowed amount of medical and pharmacy claims for covered services incurred by a member while the member is covered under the Plan, including the member's deductible, copayment and coinsurance. Pharmacy claims are taken before manufacturer rebates. Claims are taken net of replacement claims, voided claims and pharmacy reversals. No deduction is made for reimbursements under the District's stop-loss insurance. A medical claim is incurred on its first date of service and a pharmacy claim on its date of fill, and a claim incurred in a period counts in that period whether or not the month in which it is incurred is a Member Month for the member.

(b) "Member Month" means a calendar month in which a member is enrolled in the Plan on the first day of the month.

(c) "Allowed Claims per Member Month" of a group of members for a period means the Allowed Claims incurred in the period by the members of the group, divided by the total of their Member Months in the period. A member who is enrolled for part of the period is included for the Member Months in which the member is enrolled.

(d) "Data Cut-Off Date" means 28 February 2027.

(e) "Final Enrolment List" means the list of members delivered by Northcourt under Section 3.2, stratified on claims incurred in calendar year 2026 and paid through the Data Cut-Off Date. "Enrolled Members" means the members on the Final Enrolment List. "Risk Tier" means one of the four tiers into which Northcourt's acuity model places members by score, as described in Schedule A, and a member's Risk Tier is the tier assigned to the member on the Final Enrolment List.

(f) "Programme" means the Services described in Schedule A, and "Programme Year" means the twelve months from 1 April 2027 to 31 March 2028.

(g) "Trend Factor" means the annual medical and pharmacy trend rates adopted in the District's most recent renewal of Plan funding rates.

(h) "Baseline PMPM" means, for each Risk Tier and separately for medical and for pharmacy Allowed Claims, the Allowed Claims per Member Month that the Enrolled Members in that Risk Tier would be expected to incur in the Programme Year in the absence of the Programme. A Baseline PMPM is determined separately for each Risk Tier, from the experience of members in that Risk Tier. Experience from an earlier period that is used to determine a Baseline PMPM is taken on claims paid through the Data Cut-Off Date and is projected by multiplying it by one plus the Trend Factor, raised to the power of the number of months from the midpoint of that period to the midpoint of the Programme Year divided by twelve.

(i) "Programme Baseline" means the Baseline PMPMs averaged across the Risk Tiers, weighted by the number of Enrolled Members in each Risk Tier, for medical, for pharmacy and in total.

(j) "Actual PMPM" means, for each Risk Tier and separately for medical and for pharmacy, the Enrolled Members' Allowed Claims per Member Month for the Programme Year, on Allowed Claims incurred in the Programme Year and paid by 30 June 2028.

C.2 **Certification.** Before the start of the Programme Year the District will certify to Northcourt in writing, following approval by the School Board, the Baseline PMPM for each Risk Tier and benefit and the Programme Baseline. The certification will also show, for each Risk Tier, the number of Enrolled Members and their Allowed Claims per Member Month for calendar year 2026 as paid through the Data Cut-Off Date, without completion. Amounts are stated in whole dollars and no amount is rounded before the final figure.

C.3 **Savings.** For each Risk Tier and benefit, Savings equal the Baseline PMPM less the Actual PMPM, multiplied by the Enrolled Members' Member Months in the Programme Year in that Risk Tier. Programme Savings are the sum of Savings across Risk Tiers and benefits; a negative result for one Risk Tier or benefit reduces the total.

C.4 **Shared Savings Fee.** Northcourt is entitled to 40 per cent of Programme Savings, if positive, up to a maximum of $900,000 for the Programme Year. The Shared Savings Fee is in addition to the administrative fee in Schedule B and is payable within 45 days after the reconciliation becomes final.

C.5 **Reconciliation.** The District will deliver to Northcourt a reconciliation of Programme Savings by 31 August 2028, on claims paid through 30 June 2028, with the member-level detail Northcourt reasonably needs to check it.

C.6 **Disputes.** Either party may dispute the certification under C.2 or the reconciliation under C.5 by written notice within 30 days of receiving it. A dispute the parties do not settle within a further 30 days will be referred to an independent actuary who is a Fellow of the Society of Actuaries and a Member of the American Academy of Actuaries, appointed jointly by the parties. The actuary's determination is final and binding, and the parties share the actuary's fees equally.

C.7 **Plan changes.** If the District changes Plan benefits during the Programme Year, the parties will adjust the affected Baseline PMPMs in good faith to reflect the change.